How Do Managers of Non-Announcing Firms Respond to Intra-Industry Information Transfers?

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Abstract

I investigate non-announcing firms' disclosure patterns in response to information transfers. Anecdotal evidence suggests that non-announcing managers take steps to shield their firms from their peers' bad news or to imitate their peers' good news. However, existing research on information transfers seems to ignore this aspect. Using announcements of dividend changes, I find that non-announcing managers routinely intervene in the information transfer process by disclosing good news to dispel negative information transfers on their firms' share prices. More importantly, I find that industry concentration plays a significant role in managers' reactions. In particular, managers in more-concentrated industries are more likely to disclose good news following a rival's good news, while managers in less-concentrated industries are more likely to disclose good news following a rival's bad news. Finally, my results accentuate the role of disclosure by documenting that managers who intervene significantly reduce (increase) negative (positive) information transfers on their firms' share prices.

Keywords: Voluntary Disclosure, Intra-Industry Information Transfer

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I. INTRODUCTION

Anecdotal evidence suggests that managers of non-announcing firms often disclose their own private information in response to an industry peer's announcement. For instance, a week after WorldCom's bankruptcy announcement on July 22, 2002, Sprint's managers announced that they had secured a $1.5 billion revolving bank credit facility and stated that the company had sufficient flexibility to manage costs and capital expenditures to produce total free cash flow in 2003 of more than $1 billion. Before this news, Sprint's stock tumbled more than 38 percent in the wake of WorldCom's massive bankruptcy filing, but rebounded more than 33 percent on the day of the credit contract announcement. In a different case, on October 3, 2005, when Sun Microsystems and Google announced a multiyear partnership that included software development, the share prices of both Sun and Google increased by 7 percent and 2 percent, respectively, while Microsoft's share price declined by 1 percent. Three days later, Microsoft announced the release of new security software (Microsoft Client Protection), which sent Microsoft's share up by 0.3 percent following a three-day skid.

Managers of non-announcing firms presumably provide such announcements in an effort to influence the impact of information transfers on their firms' share prices. In the context of intra-industry information transfers (i.e., when public announcements made by one or more firms in an industry significantly impact the share prices of other firms in the same industry), managers of non-announcing firms may feel compelled to respond to a competitor's announcement with their own announcement since the market might interpret their potential silence as a sign that they are withholding bad news (Lev and Penman, 1990). In this study, I provide evidence on the disclosure patterns that non-announcing firms' managers seem to follow when responding to another peer's announcement and the effects of such disclosures on the information transfer process.

To date, academic researchers have extensively studied the notion of information transfer in various empirical settings, including: earnings announcements (Foster, 1981; Olsen and Dietrich, 1985; Pownall and Waymire, 1989; Han and Wild, 1990; Freeman and Tse, 1992; Lang and Lundholm, 1996; and Ramnath, 2002), management forecasts of earnings (Baginski, 1987; and Han et al., 1989), bankruptcy announcements (Lang and Stulz, 1992; and Ferris et al., 1997), nuclear accidents (Bowen et al., 1983), stock repurchases (Erwin and Miller, 1988), retailers' monthly sales disclosures (Olsen and Dietrich, 1985), dividend change announcements (Laux et al., 1998), voluntary corporate litigations (Aigbe and Madura, 1996), cross-country profit warnings among similar companies (Alves et al., 2009) and accounting restatements (Xu et al., 2006; and Gleason et al., 2008). Typically, researchers use the following process described in Gleason et al. (2008, p. 86) to investigate the existence of information transfers.

> First, the stock return behavior of announcing firms is examined to isolate any share price movements that accompany the news event of interest (e.g., a bank failure). Next, stock returns coincident to the news announcement are computed for a sample of non-announcing firms (e.g., other banks). Information transfer effects are presumed present when the mean event-period stock return for non-announcing firms is reliably different from zero. Finally, corroborating evidence is sought indicating that cross-sectional differences in the stock returns of non-announcing firms can be traced to event-related differences in firm characteristics.

However, this approach seems to ignore that managers of non-announcing firms would likely respond to their competitors' news, especially for cases where the peer's announcement triggers negative information transfers to their firms' stock prices. The following anecdotes from press releases of WorldCom, Sprint and Time Warner further illustrate this point.[1]

[1] These press releases are readily available in Lexis-Nexis and www.google.com and at the following financial archive web site: http://www.convergedigest.com/searchdisplay.asp?ID=4386&SearchWord.

WorldCom Submits Chapter 11 Bankruptcy Filing

WorldCom submitted a Chapter 11 filing in a bankruptcy court in New York. The company has reached an agreement with various banks for up to $2 billion in debtor-in-possession financing. WorldCom expects to continue business operations while it develops a reorganization plan. The bankruptcy filing does not include WorldCom's non-US subsidiaries.
21-Jul-02

Sprint Affirms its Financial Position, Responding to Stock Drop

In response to market rumors on Friday, Sprint issued a public statement affirming its liquidity position. Sprint said it has not drawn against any of its bank credit lines and has no plans to draw against bank credit lines. The company noted that it had a cash balance of approximately $650 million at the end of Q2. In early June, Sprint closed on a new $500 million PCS accounts receivable asset securitization facility. Other sources of cash include a $700 million untapped term loan facility backed by Sprint's Directory Publishing business.
26-Jul-02

Time Warner Telecom Responds to Stock Drop

In response to the significant drop in its stock price over the past several days, Time Warner Telecom said it is in compliance with all of its debt covenants and as of June 30 we had $750 million in undrawn financing. The company also had $324 million of cash and equivalents. Time Warner Telecom also said it has adequately reserved for all doubtful accounts, including WorldCom, and does not expect a significant charge related to pre-petition WorldCom receivables.
26-Jul-02

More recently, on January 15, 2009, AP Business reported a similar case outlining how managers at software services provider, Tata Consultancy Services Ltd. (TCS), "were at pains to distinguish themselves from industry member Satyam, whose founder and former chairman, B. Ramalinga Raju, confessed Jan. 7 to filling the company's balance sheets with "fictitious" assets and "nonexistent" cash for years." The report continues to say that, in response to this alarming confession, TCS executives not only emphasized the independence of their board of directors and the thoroughness of their auditors, but also stressed that their auditors had physically verified the company's funds.

In sum, the foregoing anecdotes suggest that these managers felt pressed to intervene in the information transfer process to correct erroneous beliefs about their company. However, the research design utilized in prior information transfer research investigates the impact of information transfers on the industry-related peers, but not the peers' interventions in the information transfer process. As such, that research approach only considers the most obvious aspect of the information transfer process—that is, the market response to the non-announcing firms' share prices at the time of an industry peer's announcement. Such an approach is not complete and, therefore, may trigger an inaccurate perception that managers of the non-announcing firms are totally indifferent to the potential impact of information transfers on their firms' share prices. Such assumption not only runs contrary to the popular press which has provided ample anecdotal evidence suggesting that this is not the case, but also to prior research on the disclosure behavior of managers which suggests that they are not passive to their competitors' public announcements (Dye, 1985; and Verrecchia, 1983).

However, the task of assessing non-announcing firms' disclosure patterns is not straightforward for at least four reasons. First, evidence in prior research (e.g., Lang and Stulz, 1992; Erwin and Miller, 1998; and Gleason et al., 2008) suggests that industry concentration (i.e., the level of competition in an industry) significantly impacts the dissemination of information transfers. Specifically, in more-concentrated industries (industries that are dominated by a few firms), information transfers seem to disseminate in reverse; stated differently, the good (bad) news of a firm signifies bad (good) news for its industry-related peers. Such a pattern triggers information transfers that are categorized as 'competitive' effects. On the other hand, in less-concentrated industries (i.e., fragmented industries), information transfers seem to follow a positive pattern; that is, the good (bad) news of a firm means good (bad) news for other firms in its industry. Such a pattern triggers information transfers that are categorized as 'contagious' effects. Therefore, non-announcing managers' patterns of disclosure would likely incorporate the characteristics of the industry in which their firms operate.[2]

[2] Pownall and Waymire (1989) suggest that industry characteristics might influence the nature and frequency of voluntary disclosure.

Second, managers of non-announcing firms may have bad news of their own. In this case, recent research (e.g., Tse and Tucker, 2009; and Sletten, 2011) suggests that managers seem to "herd" on their competitors' news. Third, all announcements might not be created equal and, therefore, the information transfer might depend on the status of the firm making the announcement. To this point, prior evidence in Fama and French (1995) and Hou (2007) suggests that changes in earnings and returns of industry leaders reflect industry and/or macroeconomic changes more quickly. Therefore, announcements made by industry leaders might send a more resounding signal to the market, which in turn could prompt non-announcing firms' managers to quickly dissociate or associate themselves with their competitors' news. Finally, the "disclosure scenario" outlined in Dye (1985) and Verrecchia (1983) suggests that managers with good news disclose their private information to distance their firms from their competitors with bad news.

Based on the foregoing, I argue that non-announcing firms' managers will more likely follow disclosure patterns that will help them dispel negative information transfers. In particular, I hypothesize that managers of non-announcing firms in more-concentrated industries are more likely to issue good news when their industry peers have good news in order to reduce the "competitive" effects of information transfers on their firms' share prices. This scenario depicts a pattern which I hereafter refer to as the "*me-too*" story. Conversely, managers of non-announcing firms in less-concentrated industries will be more likely to issue good news when their industry peers have bad news in order to curtail the "contagious" effects of information transfers on their firms' share prices. This scenario depicts a pattern which I henceforth label as the "*not-me*" story.

Finally, in both scenarios, I posit that managers of the non-announcing firms will be more likely to announce good news when the announcing firm is an industry leader based on the evidence in Fama and French (1995) and Hou (2007) which suggests that announcements made by industry leaders send greater macro-economic signals to the market. Hence, non-announcing firms' managers with industry-leading rivals might find it more imperative to respond to these rivals' announcements.

Using a sample of dividend announcements[3] from randomly selected firms from 2003-2006, I find evidence that managers of non-announcing firms in more-concentrated industries are more likely to disclose good news in response to a competitor's good news than firms in less-concentrated industries, while non-announcing firms in less-concentrated industries are more likely to disclose good news in response to a competitor's bad news than firms in more-concentrated industries. Additionally, I find the probability that a non-announcing firm will disclose good news to curb negative information transfers is higher when the announcing firm is an industry leader. I also document that the market rewards with a premium non-announcing firms that disclose good news following a rival's announcement.

My study makes several important contributions to the disclosure and information transfer literatures. In particular, this paper is one of the first studies to examine non-announcing firms' responses to intra-industry information transfers. Pownall and Waymire (1989) investigate whether information transfer effects are larger for firms that do not release an earnings forecast

[3] I use dividend announcements as the informational events in this paper because they can easily be classified as good news (dividend increases) or bad news (dividend decreases). Such an apparent classification is necessary to evaluate the two stories (i.e., *me-too* and *not-me*). Note that I could also use earnings announcements to test the two stories. However, the sign (positive or negative) on earnings is not as obvious as it is on dividend changes since earnings must be compared to several other metrics (i.e., past earnings, management forecasts or analyst forecasts), while the sign on a dividend change is more obvious and, as such, may send a more unequivocal signal to the market. Also, the use of dividend announcements should provide results that are more or less similar to that of earnings announcements given that dividends and earnings are closely synchronized and the two contain a high dose of firm-specific information (Asquith and Mullins, 1986).

during their sample period (July 1969 to December 1973) compared to those that release at least one earnings forecast during the same period. Their results suggest that firms that do not release an earnings forecast during the period receive larger earnings information transfers than firms that release at least one earnings forecast. In related research, Han and Wild (1997) examine the timeliness of earnings announcements and its effect on information transfers. The key issue in both studies is whether releasing earnings concurrently is a deliberate action that non-announcing managers undertake to prevent negative information transfers on their firms' share prices. In contrast, in my context, non-announcing firms' managers who are concerned about the potential impact of their peers' announcements engage in a disclosure strategy of releasing their own private information based on external factors (i.e., good/bad news, industry and announcing firms' characteristics) that seem to affect the pattern of information transfers.

In addition, my study adds to recent research (e.g., Sletten, 2011) in the disclosure literature that provides evidence on managers' incentives to disclose. Sletten (2011) analyzes the propensity of managers to disclose their firms' bad news, which was previously withheld, following a stock price decline induced by negative information transfers. Her results suggest that managers are more likely to disclose their previously withheld "bad news" once they learn that their competitors have worse news, and the announcement of such news had triggered negative information transfers to their firms' stock prices. However, it is important to note that my study is different from Sletten's (2011) in several ways.

While Sletten's (2011) study focuses on subsequent releases of previously withheld bad news by the non-announcing firms, my study examines the non-announcing firms' propensity to disclose good news in response to their industry rivals' negative information transfers. In addition, while Sletten (2011) investigates stock price changes as the determining factor for non-announcing firms to disclose previously withheld bad news, I provide incremental evidence that non-announcing firms' incentives are to disclose good news and these incentives are contingent upon a mixture of both firm and industry level characteristics in addition to stock price drops.

More specifically, the evidence in my paper shows that a non-announcing manager's good news disclosure (or lack of thereof) to an industry peer's announcement depends on whether the announcement triggers contagious or competitive effects to the non-announcing firm's stock price. Evidence in prior research (e.g., Lang and Stulz, 1992; and Gleason et al., 2008) reveals that these two effects derive from the concentration of the industry—a factor that has always been an integral part of the information transfer literature. However, to my knowledge, there is no other research in this area that examines industry concentration as a determining factor for management disclosure. My findings also reveal that, in addition to the industry concentration, other factors such as announcing firms' leadership status as well as market responses to the non-announcing firms' stock prices contribute to these non-announcing firms' decisions to disclose in response to information transfers. Consequently, this study adds to the notion of "stock price drop" analyzed in Sletten (2011) by providing an insight into the sources of the market effects that trigger not only the stock price declines but also the subsequent non-announcing firms' responses. Such understanding is useful to investors seeking to improve their forecasts. In particular, knowledge of the circumstances under which a non-announcing firm might be more likely to experience a stock price drop induced by a rival's announcement as well as the conditions under which its managers are more likely to respond to the announcement could greatly improve investors' foresight and their ability to predict stock price changes. In addition, my study provides evidence of the efficacy of disclosures by the non-announcing firms. In line with the anecdotal evidence in the popular press, my results suggest that firms which experience negative two-day returns effectively reverse the stock price declines when they announce their own good news in response to their competitors' announcements of a dividend change.

Consequently, this study is particularly useful to managers as the results suggest that non-announcing firms' managers with good news could disclose this information at a time that maximizes (minimizes) the positive (negative) effects of information transfers on their firms' share prices. Lastly, this study provides a framework on non-announcing firms' interventions that other researchers should consider or control for in their information transfer research design.

II. RELATED RESEARCH AND HYPOTHESIS DEVELOPMENT

Prior research on information transfers suggests that the share price of a non-announcing firm may increase or decrease following an announcement by one of its industry rivals. The increase or decrease in equity value stems from the market revising its expectations about the non-announcing firm upon receipt of new information concerning an industry peer. The market's revision can turn out to be accurate if the event involving the announcing firm carries state-of-the-world information that is relevant to other firms in the industry. However, it could be erroneous if these events only carry idiosyncratic information. Nevertheless, in both cases, the revision is based on the market actively working to close the knowledge gap between managers' inside knowledge and publicly available information.

In a perfect world, managers would intervene to close the knowledge gap regardless of the costs of such interventions (i.e., whether the interventions bring out declines or increases in stock prices). However, the literature is not short on identifying incentives and disincentives that significantly affect managers' willingness to disclose their private information to the market.[4]

[4] Healy and Palepu (2001) provide a thorough review on the most common incentives that guide firms' disclosure strategies.

Consequently, managers' decisions to disclose follow a rational pattern where managers are conscious of the costs and benefits associated with voluntary release of their private information. Whether these benefits pertain to safeguarding reputation, limiting lawsuits (Skinner, 1994), avoiding high disclosure costs (Verrecchia, 1983), or increasing stock prices (e.g., Dye, 1985; Verrecchia, 1983; Lev and Penman, 1990; and Sletten, 2011), the overwhelming evidence is that managers' decisions to disclose are not rigid and that they tend to evolve with managers' incentives.

This mixture of incentives and disincentives is what should be expected in a setting where managers' actions are often ruled by both their desire to protect their shareholders' interests and their personal incentives. However, when it comes to the decision of whether to close the knowledge gap in the context of negative information transfers brought out by another peer's announcement, managers' and shareholders' interests should be aligned so that managers will release their private information if their disclosures can lessen the declines in their firms' equity value. By the same token, managers will only release their private information in response to positive information transfer effects if their disclosures can further increase the positive effects of a peer's announcement on their firms' equity value.[5]

As previously mentioned, to empirically capture or predict non-announcing firms' disclosure patterns is not an obvious matter. Prior research (Lang and Stulz, 1992; Erwin and Miller, 1998; and Gleason et al., 2008) indicates that information transfers disseminate in a complex fashion wherein industry concentration plays a significant role in determining whether a

[5] Other research has found instances where managers have purposefully disclosed bad news in response to another peer's bad news (e.g., Tse and Tucker, 2009; and Sletten, 2011). However, my study focuses in on the propensity by non-announcing firms' managers to issue good news in a context of intra-industry information transfers. Consequently, I collect all types of disclosures (good and bad) by the non-announcing firms' managers and find that these managers are more likely to prevent share price declines by either "herding" on their peers' good news or announcing good news of their own.

peer's adverse event creates negative (i.e., contagious) effects or positive (i.e., competitive) effects to other firms in the same industry.[6] For example, Lang and Stulz (1992) investigate the effects of a bankruptcy announcement on other industry-related peers. They predict and find that a bankruptcy announcement by a firm operating in a more-concentrated industry (i.e., low industry competition) is associated with increases in the share prices of its rivals, while a similar announcement in less-concentrated industries (i.e., high industry competition) creates share price decreases for the rival firms. Lang and Stulz (1992) offer the following explanation of their results. On the one hand, the bankruptcy announcement conveys bad news to firms with cash flow characteristics that are similar to the bankrupt firm (which is assumed to be the case in less-concentrated industries) since there may be a strong correlation between these firms' investment value. On the other hand, the same announcement suggests good news for firms in industries with imperfect competition (i.e., weak correlation in investment value, which is assumed to be true in more-concentrated industries) because it may signal a product demand shift from the bankrupt firm to its rivals.

In addition, Erwin and Miller (1998) document fairly similar results in their examination of the information transfer effects of stock repurchase announcements. (Note that stock repurchase announcements are usually considered as good news by the market.) Specifically, they find that firms in more-concentrated industries (i.e., less competitive industries) experience, on average, a statistically significant price decline of 0.41 percent, while the average decline (–0.08 percent) in the share prices of firms in less-concentrated industries (i.e., more competitive industries) is insignificant.

[6] A positive event would create the same effects in a reverse order (i.e., good news of a firm could trigger positive (contagious) effects or negative (competitive) effects to other firms in the same industry).

Industry concentration presumably plays a significant role in the dissemination of information transfers and, consequently, might determine non-announcing firms' disclosure patterns. In this scenario, managers of the non-announcing firms are aware of their industry competition level and are able to anticipate whether a competitor's announcement will have negative or positive price implications for their firms. With this knowledge, these managers engage in a disclosure strategy similar to that described in prior research (e.g., Dye, 1985; Verrecchia, 1983; and Lev and Penman, 1990) wherein managers with good news will disclose their private information to dissociate from (imitate) their competitors with bad (good) news. Hence, I predict that non-announcing firms in more-concentrated industries will be more likely to issue good news following a competitor's good news than firms in less-concentrated industries since good news of a rival might signal that the announcing firm is gaining at the expense of its non-announcing rivals (Erwin and Miller, 1998). Hence, non-announcing firms with equivalent good news will release it to signal to the market that they too have good news in an effort to halt any potential gain by the announcing firm. I characterize this scenario as a "*me-too*" type behavior. Similarly, I expect that non-announcing firms in less-concentrated industries will be more likely to issue good news following a competitor's bad news than firms in more-concentrated industries based on prior research results of a predominantly contagious intra-industry effect in these types of industries (e.g., Laux et al., 1998; Erwin and Miller, 1998; and Gleason et al., 2008). Hence, non-announcing firms' managers with good news will release it to signal to the market that the adverse event of their competitor is not applicable to their firms. I characterize this scenario as a "*not-me*" type behavior. Figure 1 presents a contingency table of these two behaviors.

[Insert Figure 1 about here]

I use the following hypotheses (stated in the alternative form) to depict each scenario:

H1a: In light of the announcement of a favorable event by one or more firms in an industry, the propensity for non-announcing firms to disclose good news will be higher in more-concentrated industries (less competitive) relative to less-concentrated industries because of the predominantly competitive effects that exist in these industries.

H1b: In light of the announcement of an adverse event by one or more firms in an industry, the propensity for non-announcing firms to disclose good news will be higher in less-concentrated (more competitive) industries relative to more-concentrated industries because of the predominantly contagious effects that exist in these industries.

I also argue that the propensity of non-announcing firms' managers to disclose good news in response to a rival's good (bad) news announcement in more- (less-) concentrated industries will be higher if the rival is an industry leader. This hypothesis is based on prior research which suggests that announcements made by industry leaders seem to send greater macro-economic signals for other firms in their industry (Fama and French, 1995; and Hou, 2007).[7] In this case, a non-announcing firm with good news might have more incentives to disclose it to correct any erroneous and costly associations that the market might make. Hence, I formulate the following hypothesis (stated in the alternative form) to capture this phenomenon.

H1c: In light of the announcement of an informational event (good or bad) by one or more firms in an industry, the propensity for non-announcing firms to disclose good news will be higher when the announcing firm is an industry leader relative to when the announcing firm is not a leader.

The next set of hypotheses pertains to the effects of managers' interventions on the information transfer process. Prior evidence in Pownall and Waymire (1989) suggests that firms that release at least one earnings forecast concurrently with other firms in their industry experience less stock price movement. Conversely, I predict that non-announcing firms that intervene in the information transfer process by issuing good news will be less affected by negative information transfers. More precisely, I predict that the market will reward non-

[7] In a related study, Graham and King (1996) find that a firm's size plays a significant role in the magnitude of information transfers it receives.

announcing firms that intervene and penalize non-announcing that do not intervene. These predictions are valid for both groups of industry competition. The following hypotheses (stated in their alternative form) capture these predictions.

H2a: The market rewards non-announcing firms that disclose good news following a competitor's good news in more-concentrated industries with a premium.

H2b: The market rewards non-announcing firms that disclose good news following a competitor's bad news in less-concentrated industries with a premium.

III. SAMPLE AND RESEARCH DESIGN

3.1 Sample Selection

I use dividend change announcements to test my research hypotheses. In particular, an increase in dividends is considered good news, whereas a decrease is considered bad news. I obtain my sample of announcing firms by carrying out the following three steps. First, I identify a dividend sample of 11,591 firm-quarters during the period 2003-2006 where cash dividends for one particular firm fluctuate from one quarter to the next, signaling a change. Second, I eliminate observations if the related firm 1) does not have GICS information; 2) operates in the financial or utility industry; 3) does not have the necessary sales data needed to compute market share for the leadership variable; 4) is not a calendar year-end firm[8] (this choice is made to facilitate date identification of dividend announcements on the Compustat database); 5) has released earnings within 10 days of the dividend announcement (this choice is made to avoid any confounding effects that an earnings release might have on the dividend change announcement); or 6) does not have the necessary CRSP data. After imposing the above constraints, 2,286 quarterly observations remain, of which 1,896 are dividend increases and 390 are dividend decreases. The greater frequency of dividend increases (83%) is consistent with prior research (e.g., Dewenter

[8] A similar choice is done in Fama and French (2001).

and Warther, 1998; Mikhail et al., 1999; and Rahman, 2002). Lastly, I retain only cases with three-day cumulative market-adjusted return of 0.01 in the group of dividend increases and –0.01 in the sample of dividend decreases.[9] I also screen for the presence of special dividends and find no special dividend during my sample period.[10] These choices result in a total of 857 cases for increases and 131 cases for decreases. The sample selection procedures for the group of announcing firms are presented in Panel A of Table 1.

To obtain my sample of non-announcing firms, I begin by retaining all quarterly observations that have the necessary data on Compustat and CRSP and relate to firms that operate in the same industry (as defined by the eight-digit GICS) as one of the non-announcing firms. This creates an initial sample of 12,969 non-announcing observations over the 16 quarters. However, coding the non-announcing firms' disclosures requires substantial hand collection of data. Specifically, the process involves searching Lexis-Nexis for any disclosure made by the non-announcing firm starting one day before the announcement to up to 10 days after. Thus, keeping the full sample of dividend announcements would entail searching Lexis-Nexis for disclosures of 12,969 non-announcing firms over a period of 12 days for each firm. To make the hand collection of data more manageable, I use simple random sampling (proc surveyselect in SAS) to generate 83 quarterly dividend announcements (47 cases of dividend increases and 36 cases of dividend decreases) from the 988 announcing firms. To determine whether enough observations have been generated, I compare the variances on the dividend change amounts across each random sample of 47 dividend increases and 36 dividend decreases with the original

[9] The reason for this additional screening is to minimize noise in the analysis. For example, if the announcement of a dividend increase induces negative share price movements for the announcing firm this could indicate the presence of a concurrent negative announcement made by this firm that drowns out the positive effect of the dividend announcement. Therefore, keeping this observation will only induce noise in the analysis as it will be challenging to predict the non-announcing firm's behavior without knowledge on the information that is being transferred.

[10] Following DeAngelo et al. (2000), I screen all the dividends issued between 2003-2006 using CRSP distribution codes 1262 and 1272 and find that only 1.52% of all dividends issued during this period correspond to special dividends. However, neither my full nor my retained sample contains cases of special dividends.

sample of 857 observations for dividend increases and 131 observations for dividend decreases, respectively. Results from these tests indicate that the variances are not different across original and random samples of dividend increases and decreases.[11]

These new samples of announcing firms generate a total of 774 industry rivals. As noted above, I search Lexis-Nexis for public announcements made by each of these non-announcing firms one day before and up to 10 days after an industry peer has announced a dividend change. Non-announcing firms' disclosures are selected based on their proximity in time to the announcing firm's news. Note that the search for non-announcing firms' disclosures proceeds in a forward-looking manner. More precisely, I start searching for disclosures on the day after and up to 10 days of an industry rival's announcement of a dividend change. If no disclosure is found for the non-announcing firm between day t+1 and day t+10, I search for disclosures in day 0 and day t–1. This procedure ensures that a disclosure will not be left out because of errors in Compustat dates. In the event that a non-announcing firm makes several disclosures during the search period, I pick the disclosure that is closest to the release date and time of the announcing firm's news. I mostly focus on announcements that seem non-recurring (e.g., announcements such as the receipt of a contract, a credit line increase from a bank, a non-recurring management forecast[12]) and announcements for which management seems to have great discretion over their timing.

To avoid the confounding effects that a simultaneous earnings release by the non-announcing firms might have on the information transfer process, I discard 12 observations

[11] This approach is in the spirit of the two-stage sampling procedure introduced in Wilcox (1984) and Wilcox (1985) to determine whether a sufficient number of observations has been sampled when making inferences about control and treatment groups.

[12] A disclosure related to a management forecast will be discarded if the firm has made a similar forecast in the quarter immediately before the quarter of the sample period or in the same quarter last year around the same day of the current management forecast. Such a disclosure will be seen as non-routine. There was not any such case in my sample.

where the first available disclosure by the non-announcing firm was an earnings announcement. I also discard 7 observations where the first available disclosure is either a dividend or a stock repurchase announcement based on the knowledge that decisions concerning these events require approval by the Board of Directors and, hence, management might have less discretion over their timing. Finally, I discard 141 observations with missing segment data required to compute the Herfindahl-Hirschman Index. I also restrict the sample of non-announcing firms to dividend payers and, in the process, discard an additional 8 observations. Following Baker and Wurgler, (2004), Ferris et al. (2009), and Cahit and Lasfer (2011), I define a dividend paying firm as a firm that has paid a dividend in the last four quarters preceding the quarter of a dividend announcement by one or more of its industry peers.[13] These additional screenings result in a total sample of 606 non-announcing firms with 369 observations in the dividend increase sample and 237 in the sample of dividend decreases. Panel B of Table 1 summarizes the sample selection procedures for the group of non-announcing firms.[14]

3.2 Search and Classification of Non-announcing Firms' Disclosures

I code announcements made by non-announcing firms as responses to information transfers when such announcements look casual yet significant and appear to carry a great deal of management's discretion. To illustrate, assume Firm A, which operates in industry X, makes an announcement of a dividend change on day *t*. During my search for announcements made by

[13] Note that all the studies cited above consider a firm as a payer if it pays dividends in the current period. One of my design restrictions actually discards observations with dividend payments in the current period because of management's "low" discretionary power on the timing of dividend announcements.

[14] I conducted the same analysis in a sample of litigation announcements (results are included in the Additional Analysis section). The final sample that had all the required data to run the analyses contains 127 announcing firms during the period 2003-2006 and generates approximately 26 industry rivals for each announcement of securities litigation. I used Lexis-Nexis to search for the non-announcing firms' disclosures and ended up searching disclosures for a total of 3,276 observations over a period of twelve days. However, with this much larger group of 12,969 non-announcing firms for the dividend change sample, this would require searching Lexis-Nexis 12,969 times for non-announcing firms' disclosures. Considering that I obtain results that are nearly identical from using a full sample of securities litigation and a reduced sample of dividend changes, it seems that there are no significant issues with using a random sample.

Firm A's industry peers within the search period, I would not expect Firm A's industry peers to respond in specific terms to the dividend announcement as this event is not salient news. Therefore, a rival firm is less likely to respond with a press release that mentions the announcing firm's dividend change.

As a more specific example, consider one of the firms in my sample of dividend increases, Caterpillar Inc., which announced a dividend increase on October 8, 2003. Cascade Corp., a Caterpillar competitor, pre-announced a boost in earnings the same day, but did not specifically reference Caterpillar's dividend increase. Nevertheless, the disclosure from Cascade is considered to be a response to the dividend announcement by Caterpillar since Cascade has not pre-announced earnings during the same period in the previous year.[15] Two other Caterpillar's competitors, Toro CO and Navistar (each one with a 1% increase in price for period (–1, 0)), did not disclose any information during the search period based on searching Lexis-Nexis. Some of the anecdotal evidence presented at the beginning of the paper (e.g., the Worldcom's bankruptcy announcement) deals with events that carry "state-of-the world information[16] and, as a result, an industry rival might be more likely to respond to the information transfer using languages that speak to the announcing firm's current issue—a phenomenon that is less likely to manifest for a dividend change announcement.

A disclosure is considered to be a response to a competitor's announcement based on its proximity in time to the announcement. For example, if a non-announcing firm makes several disclosures during the search period, I select the disclosure that is closest to the announcing

[15] Note that Cascade Corp. had a 1.1% increase in price for period (-1, 0). This is further proof that non-announcing firms do not respond to only stock price drops.

[16] State-of-the-world announcements reveal information about the components of economic and accounting fundamentals that are common to all firms within the industry. Another aspect of state-of-the-world announcements resides in the usual high-level publicity that surrounds them –in general, dividend announcements do not receive superior coverage (i.e., front page of major financial newspapers), while other more salient news (e.g., bankruptcy announcements, SEC enforcement actions, among others) are widely publicized.

firm's announcement. The search proceeds in a forward-looking manner, meaning that if a non-announcing firm makes two disclosures, one on day *0* and one on day *t–1,* I select the disclosure on day *0* if the disclosure contains "meaningful" information. As stated above, "meaningful" information may involve a new contract, a non-routine management forecast of earnings or sales, earnings pre-announcements, a partnership, the release of a new product, the loss of a major customer, a credit line increase, etc. I then analyze the information content of the disclosure closely to assess whether it conveys good, bad, or no significant information (hereafter, no-news).[17] The release of a new product is classified as good news, while the loss of a major customer is classified as bad news. A no-news item is a disclosure that contains no real value relevant information. For example, several firms in my sample of non-announcing firms have released information on their annual meeting (i.e., venue, date and time) and their executive's speaking activities. Such disclosures are classified as no-news.[18] I understand that this procedure has its limitation in the sense that I could select disclosures that are made in the ordinary course of business. However, this would work against finding results in this paper as my argument for non-announcing firms' responses emphasizes that managers of these firms strategically issue their disclosures to negate or enhance the impact of information transfers on their firms' share prices. Therefore, a clustering of non-announcing firms' disclosures that is just random would be inconsistent with my findings. Appendix A shows examples of non-announcing firms' disclosures and their corresponding classification.

3.3 Research Design

[17] In line with the disclosure scenario which suggests that the market interprets firms that stay "silent" as a sign that they are withdrawing bad news information, I lump no-news announcements with bad news (Verrecchia, 1983; and Lev and Penman, 1990).

[18] Another alternative to classifying the disclosure as good, bad or no news would be to look for the market reaction to the news on that date. For example, a good news disclosure would be one with a positive market response. However, based on the results of this paper, I believe that any misclassification (if present) must be negligible.

As noted above, the primary objective of this paper is to provide empirical evidence of non-announcing firms' disclosure patterns in the information transfer process. More specifically, I predict that firms in more-concentrated industries are more likely to announce good news when their industry peers have good news (H1a) and firms in less-concentrated industries will be more likely to announce good news when their competitors have bad news (H1b). In addition, I predict that the status of the announcing firm (i.e., whether it is an industry leader) will prompt non-announcing firms to be more likely to disclose good news. To test these predictions, I estimate a logistic regression model in each sample of dividend change announcements.[19]

$$\begin{aligned} Prob(Discl\_GN)_j = \alpha_0 &+ \alpha_1 MCInd + \alpha_2 LeadFirm_i + \alpha_3 Neg2DayRet_j \\ &+ \alpha_4 MCInd * LeadFirm + \alpha_5 MCIn * Neg2DayRet \\ &+ \alpha_6 LeadFirm * Neg2DayRet \\ &+ \alpha_7 MCInd * LeadFirm * Neg2DayRet \\ &+ \alpha_8 LogMkval_j + \alpha_9 BTM_j + \varepsilon \qquad \text{(1a)} \end{aligned}$$

$$\begin{aligned} Prob(Discl\_GN)_j = \beta_0 &+ \alpha_1 LCInd + \beta_2 LeadFirm_i + \beta_3 Neg2DayRet_j \\ &+ \beta_4 LCInd * LeadFirm + \beta_5 LCInd * Neg2DayRet \\ &+ \beta_6 LeadFirm * Neg2DayRet \\ &+ \beta_7 LCInd * LeadFirm * Neg2DayRet \\ &+ \beta_8 LogMkval_j + \beta_9 BTM_j + \varepsilon \qquad \text{(1b)} \end{aligned}$$

Equation 1a is used to test hypothesis 1a and equation 1b tests hypothesis 1b. It is necessary to evaluate these equations separately since a single equation model will not simultaneously capture the effects of different types of news (dividend increases and decreases) in different types of industries (more- and less-concentrated) on the propensity of non-announcing firms to disclose. I also include in both equations a variable, *Neg2DayRet*, which captures Sletten's (2011) findings that managers disclose good news in response to stock price

[19] I use step-wise regressions to evaluate these equations. I first fit one model (Model 1) that includes only the main predictors and, then, another model (Model 2) with the two- and three-way interactions. This choice is guided by previous research (e.g., Lottes et al., 1996) that emphasizes the importance of evaluating main effects separately from interactions in logistic models to preserve independence among variables when calculating the odds ratio.

declines induced by an exogenous event. Although, I do not formulate any specific hypothesis for this variable, it is, however, included to isolate Sletten's findings and, more importantly, to show that the other effects (i.e., industry concentration and announcing firms' position) provide incremental incentives for managers of non-announcing firms to disclose good news. Variables are defined as follows.

Discl_GN = an indicator variable equal to 1 if non-announcing firm *j* discloses good news on the date *t* and up to ten days after an industry peer *i* makes an announcement, and 0 otherwise.

MCInd = an indicator variable equal to 1 if the announcing and non-announcing firm's industry is more-concentrated, and 0 otherwise. An industry is classified as more-concentrated if its Herfindahl-Hirschman index exceeds the sample median of 0.20.

LCInd = an indicator variable equal to 1 if the announcing and non-announcing firm's industry is less-concentrated, and 0 otherwise. An industry is classified as less-concentrated if its Herfindahl-Hirschman index is lower than the sample median of 0.20.

LeadFirm = an indicator variable equal to 1 if firm *i*'s market share is above its industry median and 0 otherwise. Industry classification is based on the eight-digit GICS. Market share is calculated as the three-year sales average for each announcing firm.

Neg2DayRet = an indicator variable equal to 1 if firm *j*'s two-day cumulative average abnormal return is negative, and 0 otherwise. The two-day average abnormal returns are based on the two-day event window (–1, 0).

Log_Mkval = firm *j*'s natural log of market value of equity at the beginning of the announcement period.

BTM = firm *j*'s book-to-market ratio calculated at the beginning of the announcement period.

The coefficients α_1 and α_2 in Equation 1a measure the propensity for non-announcing firms to disclose good news when their industry is more-concentrated and the announcing firm is an industry leader in the group of dividend increases, respectively. I expect both of these coefficients to be positive and significant. I also expect a positive and significant coefficient (α_3)

on the variable, *Neg2DayRet,* in light of Sletten's (2011) findings that managers respond to stock price drops. The coefficients $\beta_1$and β_2 in Equation 1b measure the propensity for non-announcing firms to disclose good news when their industry is less-concentrated and the announcing firm is a leader in the group of dividend decreases, respectively. I expect both of these coefficients to be positive and significant. I also expect β_3 to be positive and significant indicating that the announcement of a dividend decrease that induces negative abnormal returns to the non-announcing firms also triggers these firms to disclose good news.

Industry concentrations are defined based upon the value of the annual Herfindahl-Hirschman Index (HHI). I calculate HHI as the sum of squares of each segment's sales as a proportion of the industry's total sales. To do so, I calculate each segment-year sales by aggregating the sales amount for each firm within the segment. Then, I aggregate the amount of each segment-year to derive the industry's total sales.

Similarly to Becker and Thomas (2008), my measure of industry concentration is calculated at the business segment level rather than the consolidated firm level. As argued by Becker and Thomas (2008), this approach avoids assigning consolidated sales of firms with multiple segments to a unique industry identifier code (i.e., four-digit SIC code).[20] Industries with HHI values that are above the sample median of 0.20 are classified as 'more-concentrated' while industries with HHI below the sample median are classified as 'less-concentrated'.[21] I also create several interaction variables to capture disclosure activities by the non-announcing firms. Although, I do not test any formal hypotheses concerning these interactions, however, I expect

[20] I also use an approach that is similar to Lang and Stulz (1992) where I calculate HHI as the squared sum of the fractions of industry sales by all firms in Compustat with the same primary four-digit SIC code. The results are similar to using the approach in Becker and Thomas (2008).

[21] The Herfindahl-Hirschman Index as calculated above may not be the best measure for industry concentration considering that recent evidence in Ali et al. (2009) indicates that "Compustat-based industry concentration measures are poor proxies for actual industry concentration." However, because of data availability, it would have not been feasible to include private firms in this study.

their coefficients to be positive and significant indicating that non-announcing firms will more likely to disclose good news if more than one of the factors (i.e., industry concentration, announcing firms' leadership position or negative two-day abnormal returns for non-announcing firms) are present at the same time.

I control for size in light of the evidence in prior research (e.g., Cox, 1985; Waymire, 1985; and Baginski et al., 2004) suggesting that larger firms are more likely to make voluntary disclosures. Size is calculated as the log of market value of equity as of the beginning of the quarter. Since prior research suggests that riskier firms tend to disclose more since less-informed investors demand more access to private information (Baginski et al., 2004), I use book-to-market (BTM) ratio to control for risk. Considering that growth firms and firms in the high-tech industries tend to be riskier and at the same time may have more incentives to withdraw proprietary information, therefore, I do not predict a sign on this variable.

IV. EMPIRICAL RESULTS

4.1 Descriptive Statistics on Announcing and Non-announcing Firms' Share Price Behaviors

I use market-adjusted returns to document the share price response to announced dividend changes for both announcing and non-announcing firms. I calculate market-adjusted returns for each observation by taking the difference between the actual buy and hold return and the corresponding CRSP value-weighted index return. Following prior research, I cumulate abnormal returns (*CAR*) over a three-day window (–1, +1) for announcing firms. To be consistent with the search for non-announcing firms' disclosures, I cumulate abnormal returns (*CAR*) for non-announcing firms over a twelve-day window starting on the day before a dividend change announcement to ten days after (–1, +10).

Panel A of Table 2 reports three-day announcement period returns for the group of dividend increases. All four years' cumulative abnormal returns are statistically different from zero. The full sample of dividend increases exhibits a mean announcement abnormal return of 1.44 percent. The retained sample displays a similar pattern with mean announcement abnormal return of 1.36 percent.

Panel B reports the results on the dividend decrease sample. The mean returns across years of announcements are all significantly different from zero with a slightly smaller decline in 2006. In the full sample of announcing firms, share prices decrease on average by 2.07 percent, while the mean cumulative abnormal return for the retained sample is –2.43 percent for the retained sample. However, this difference is not statistically significant.

[Insert Table 2 about here]

In Panel A of Table 3, I provide descriptive statistics for the full and retained samples of non-announcing firms. The full sample consists of all non-announcing firms that are matched with an announcing rival and having all the required Compustat and CRSP data. As noted above, the retained sample is randomly selected since it would be impractical to use the full sample of 12,969 observations to search for non-announcing firms' disclosures as the procedure involves searching Lexis-Nexis for each non-announcing firm to document and classify any disclosure it makes during the search period of twelve days.

The full and retained samples show similarities on size and book-to-market values. The median values are also highly similar across the main samples of dividend changes and sub-samples of increases and decreases. The mean values on dividend changes and *CAR* show some differences between the full and retained samples when the two samples of dividend increases and decreases are combined. For example, while the mean dividend change is positive in the full sample (about 0.06), it is negative in the retained sample (approximately –0.01). I find a similar difference for the mean *CAR* values (0.001 in the full sample and –0.0002 in the retained sample). However, when I split the samples into increases and decreases, there appear to be no major differences between the means across the full and retained samples. Since all the main tests in this study are performed on the split samples, this provides some comfort that results obtained from using the retained sample can be generalized to the full sample.

In Panel B of Table 3, I present the distribution of industry concentration levels and announcing firms' leadership status. In the dividend increase sample, 85% of the observations on non-announcing firms are from industries classified as less-concentrated and 66% of these observations have industry leading-rivals. In the group of dividend decreases, 68% are in less-concentrated industries with 79% of them having an industry-leading rival.

[Insert Table 3 about here]

Table 4 reports two-day cumulative average abnormal returns to 369 non-announcing firms in the dividend increase sample and 237 non-announcing firms in the dividend decrease sample, respectively. I form portfolios of non-announcing firms based on industry concentration and calculate their two-day (–1, 0) period announcement returns. In the group of dividend increases (Panel A), non-announcing firms experience an increase of 0.22% in returns when an industry rival announces a dividend increase, with 57% of the sample experiencing a positive abnormal return. In addition, non-announcing firms in less-concentrated industries experience a positive abnormal return of 0.33% (59% positive), while their counterparts in more-concentrated industries experience a stock price decline of 0.40% (46% positive).

In Panel B, non-announcing firms in both industry portfolios exhibit negative two-day returns. However, firms in less-concentrated industries exhibit a significant stock price decline of

0.66% (38% positive), while the decline (–0.11%) is not significant for their counterparts in more-concentrated industries. The differences in abnormal returns between industry portfolios in both panels, although economically significant, are not statistically significant because the tests are not powerful due to sample size.

In both of the panels of Table 4, the results confirm prior evidence in Lang and Stulz (1992), Erwin and Miller (1998) and Gleason et al. (2008) that industry concentration seems to be a significant factor in the dissemination of information transfers. More importantly, these results set the stage for testing the expectations outlined in the *me-too* and the *not-me* story that managers of the non-announcing firms will be more likely to issue good news when their competitors have good news in more-concentrated industries and good news when their competitors have bad news in less-concentrated industries, respectively.

4.2 Tests of the Non-announcing Firms' Disclosure Patterns

In this section, I present the results from the testing of the hypotheses concerning the non-announcing firms' disclosure patterns. The models in this study assess the propensity to disclose good news by the non-announcing firms. In my search for disclosure by these non-announcing firms, I consider the first available disclosure in proximity to the date of the announcement of a dividend change by an industry rival. This first disclosure can be a good news disclosure or a bad news disclosure. Based on the hypotheses, I expect the frequency of good news disclosures to be higher than that of bad news. Figures 2a and 2b measure the timing to the first disclosure by the non-announcing firms in response to a competitor's announcement of a dividend increase and decrease, respectively. I construct these figures by calculating the number of days elapsed (*diff_day*) between the date of a dividend change announcement and the date of the first disclosure by a non-announcing firm. The results on these figures show a spike of disclosures by the non-announcing firms on Day 1 in both sub-samples of dividend increases and decreases. In general, non-announcing firms seem to respond to their industry rivals' announcements within a mean of 2.8 days (median = 2 days) for the dividend increase sample and a mean of 2.9 days (median = 1 day) for the dividend decrease sample.[22]

[Insert Figures 2a and 2b about here]

H1a predicts that managers of non-announcing firms in more-concentrated industries will be more likely to issue good news when their competitors have good news than non-announcing firms in less-concentrated industries. In line with the "*me-too*" story, results presented on Table 5 show that non-announcing firms in more-concentrated industries are 2.3 times more likely than firms in less-concentrated industries to disclose good news when one or more rivals announce a dividend increase. In line with the predictions in H1c, I find that non-announcing firms are 1.4 times more likely to disclose good news when an industry leader announces a dividend increase. These results are incremental to the inclusion of the variable, *Neg2DayRet*, which indicates that managers of non-announcing firms are 1.2 times more likely to disclose good news when their firms experience declines in stock prices. This latest result is in line with the findings in Sletten (2011) that managers react to stock price drops by disclosing good news. However, considering the positive and significance coefficients on the main variables, *MCInd* and *LeadFirm*, the results in this paper cannot be interpreted as a manifestation of Sletten's (2011).

In model 2 of this table, I form two- and three-way interaction among the main variables and the control variable, *Neg2DayRet*.[23] The only significant interaction is between the main variables: industry concentration and announcing firms' leadership position. *MCInd*LeadFirm*

[22] A total of 41 disclosures by the non-announcing firms falls within the interval [–1, 0]. As a precaution, I ran all of my empirical tests without including these observations. The results remain statistically and economically the same.
[23] The Odds ratio for interactions is equal to ***e*** raised to the power of the sum of the corresponding main effect coefficients and the coefficient on the interaction. For significant interactions, I report the sum of the coefficients that make up these interactions along with the odds ratios in parenthesis in Tables 5 and 6.

captures non-announcing firms' propensity to disclose good news in more-concentrated industries when the announcing peer is an industry leader. For the group of dividend increases, I find that non-announcing firms are 2.7 times more likely to disclose good news when the announcing peer is an industry leader and the industry is more-concentrated. This result reinforces the "*me-too*" story.

[Insert Table 5 about here]

Table 6 presents the results from the testing of H1b. H1b (i.e., the "*not-me*" story) predicts that non-announcing firms in less-concentrated (more competitive) industries will be more likely to issue good news when an industry peer has bad news. As predicted, I find that non-announcing firms are 1.7 times more likely to disclose good news in less-concentrated industries and 1.3 times more likely when the announcing firm is an industry leader following the announcement of a dividend decrease. The coefficient on the variable, *Neg2DayRet*, is significant with the expected sign indicating that managers of non-announcing firms are almost 2 times more likely to disclose good news in response to stock price drops.

Model 2 of this table shows two significant interactions. When I interact industry and leadership (*LCInd*leadFirm*), I find that non-announcing firms are more than 1.7 times more likely to intervene by issuing good news when their industry is less-concentrated and the announcing firm is a leader. Interacting leadership and negative two-day abnormal returns (*LeadFirm*Neg2DayRet*) indicates that non-announcing firms are more than 2 times more likely to disclose good news when their industry peers announce a dividend decrease.

[Insert Table 6 about here]

4.3 Tests of the Effects of Non-announcing Firms' Disclosures on Information Transfers

In each sample of dividend increases and decreases, I estimate a regression model to capture the impact of non-announcing firms' good news disclosures on the information transfer process. The equations are as follows:

$$CAR_j = \gamma_0 + \gamma_1 GN\_Discl + \gamma_2 MCInd + \gamma_3 GN\_Discl * MCInd + \gamma_4 Log\_Mkval + \gamma_5 BTM + \varepsilon \quad (2)$$

$$CAR_j = \delta_0 + \delta_1 GN\_Discl + \delta_2 LCInd + \delta_3 GN\_Discl * LCInd + \delta_4 Log\_Mkval + \delta_5 BTM + \varepsilon \quad (3)$$

In Panel A of Table 7, I use Equation 2 to test hypothesis 2a that the market rewards non-announcing firms in more-concentrated industries that disclose good news following a competitor's announcement of a dividend increase. *CAR* represents cumulative abnormal returns for non-announcing firms and is calculated over two different periods, (–1, +10) and (+1, +10). The reason for estimating *CAR* in two different periods is to isolate the effects of the non-announcing firms' disclosures using a long and a short window. In the shorter window, I will expect that the influence of industry concentration will be significantly minimized because of the non-announcing firms' disclosures. The interactions *GN_Discl*MCInd* and *GN_Discl*LCInd* are expected to capture the incremental effects of disclosing good news in more and less-concentrated industries, respectively. The coefficients γ_1 and γ_2 represent the response coefficients for good news disclosure and industry characteristics in the group of dividend increases, respectively. δ_1 and δ_2 are the response coefficients for good news disclosure and industry characteristics in the group of dividend decreases, respectively. I expect the coefficient on the variable, *GN_Discl,* to be positive and significant in both periods indicating that the market rewards non-announcing firms that disclose good news regardless of the characteristics of the industry and the announcing firms' news. However, I expect the coefficients on the industry variables (i.e., *MCInd* and *LCInd*) to be negative and significant in the period (–1, +10) and insignificant in the period (+1, +10), which will indicate that the disclosure by the non-announcing firms effectively negate the influence of industry concentration. Furthermore, I expect γ_3 to be positive and significant indicating that non-announcing firms in more-concentrated industries that disclose good news enjoy an additional premium from the market over their peers that do not disclose good news.

Results for the period (–1, +10) indicate that all the main variables are significant with their predicted sign. The market appears to reward non-announcing firms that disclose good news following a rival's announcement of a dividend increase (γ_1 = 0.0033; t = 4.15). As expected, γ_2 is negative and significant indicating that the market interprets good news of a firm as bad news for its rivals in more-concentrated industries (γ_2 = –0.004; t = –3.37). The coefficient on the interacting variable *GN_Discl*MCInd* is positive and significant indicating that the market rewards non-announcing firms in more-concentrated industries that engage in a "*me-too*" behavior with an additional premium (γ_3 = 0.008; t = 3.98). The results seem to be identical for period (+1, +10). Although a noticeable increase can be seen on the interaction variable, *GN_Discl*MCInd*—its coefficient changes from 0.0076 to 0.0097, however, the coefficient on the industry variable, *MCInd*, continues to be negative and significant. This might be due to a combination of two factors. One, not all the non-announcing firms in more-concentrated industries have disclosed good news. In this subsample, about 49% (28 out of 57 firms) of the non-announcing firms have announced their own good news. Second, this could be due to the effects of new information transfers from the non-announcing firms' disclosures.

In Panel B, I present a comparison between the abnormal returns of industry rivals in more-concentrated industries calculated at two different intervals, (–1, 0) and (+1, +10). This comparison clearly shows that non-announcing firms that disclose good news exhibit significant changes in their stock prices. On average, these firms experience negative two-day abnormal returns of –0.42% and positive ten-day abnormal returns of 0.76% after they have disclosed good news.

[Insert Table 7 about here]

Table 8 reports the results for the dividend decreases. All the main variables have their predicted sign. For the period (–1, +10), δ_1 is positive and significant indicating that firms that disclose good news are rewarded by the market (δ_1 = 0.005; t = 3.00). δ_2 is negative and significant (δ_2 = –0.004; t = –2.73) indicating negative contagious effects for non-announcing firms in less-concentrated industries. δ_3 is not significant, suggesting that there is no additional premium for firms that engage in a "*not-me*" type behavior in less-concentrated industries (δ_3 = 0.001; t = 0.33). For the period (+1, +10), the coefficient on industry concentration, δ_3, is not significant, which seems to indicate that the disclosures by the non-announcing firms seem to have cancelled the effects of industry concentration.

In Panel B of this table, the results show that the cumulative average abnormal returns for non-announcing firms are negative during the first two days of the estimation period and positive for the next ten days for the sub-sample of firms classified as being in less-concentrated industries.[24] These latest results confirm the significant impact of non-announcing firms' disclosures of good news on the information transfer process.

[Insert Table 8 about here]

4.4 Additional Analysis

To provide additional evidence concerning the disclosures of good news by non-announcing firms, I also test the "not-me" hypotheses (i.e., H1b, H1c, and H2b) in a securities

[24] The difference in the number of observations between the two sub-samples (74 obs. vs. 75 obs.) is due to dropping one firm with missing daily returns for days –1 and 0.

litigation setting. In particular, I focus on 127 securities litigation announcements from 2003-2006. This sample generates a total of 2,615 non-announcing rivals. In line with expectations, the results (not reported for parsimony's sake) reveal that the propensity to issue good news by firms in less-concentrated industries increases by 25%. I also find that this propensity increases by 12% when the announcing firm is an industry leader. The result on the interacting variable *LCInd*LeadFirm* has the correct sign but it is not significant. Based on univariate procedures, I also find that non-announcing firms that disclose good news enjoy an abnormal return of 0.11% over a twelve-day trading period, while their counterparts who do not disclose good news suffer a decline (–0.34%) in return over the same period. This difference (0.44%) is statistically significant at the 5% level (t = 2.20).

V. CONCLUSION

This paper contributes to the literature examining firms' voluntary disclosures and the subsequent market reactions to their disclosures. In the context of intra-industry information transfers, I posit that non-announcing firms' managers intervene in the information transfer process by disclosing good news either to imitate their rivals with good news or to separate themselves from those with bad news. Using a random sample of dividend change announcements from 2003-2006, I find that, based on the characteristics of the industry and the announcing firm, managers of non-announcing firms are more likely to disclose good news of their own when the announcement made by a competitor is perceived as negative to their firms' share prices. I also find that the market rewards with a premium non-announcing firms that disclose good news in the face of negative information transfers. These results are consistent with my conjecture that managers of non-announcing firms disclose strategically in an information transfer context and that their disclosures have the intended effect of minimizing the impacts of negative information transfers on their firms' share prices.

One aspect, which is beyond the scope of this study, is to investigate whether the documented management's interventions are *genuine*. Prior research provides evidence that managers have a reputation to act opportunistically to prevent declines in their firms' stock prices or to engage in "big bath" behavior (Healy, 1985; and Graham et al., 2005). Under both acts, managers may disclose intentionally untrue information to the market. Therefore, some of the disclosures documented in this study might contain information which may not be value-relevant.

As a final point, despite my exhaustive efforts to collect a clean sample of non-announcing firms' disclosures and to appropriately classify them into good news or bad news, there may be some errors in my interpretations of the news conveyed by these disclosures. Hence, I may have classified some disclosures as "bad news" when they may have been "good news" to the market, and vice-versa. My results should be interpreted with this limitation in mind. However, considering that I perform the same empirical tests in two distinct settings with similar results, the potential errors in interpretation are likely to be minimal.

Appendix A: Examples of non-announcing firms' disclosures and their corresponding classification

<table>
<tr><th>Announcing firm</th><th>Non-announcing firm</th><th>Disclosure classification</th></tr>
<tr><td>GLATFELTER
Dividend decrease announcement on September 18, 2003</td><td>ABITIBI CONSOLIDATED

September 25, 2003, Thursday

Media Advisory - John W. Weaver to deliver keynote speech on forest partnerships at World Forestry Congress

SECTION: FINANCIAL NEWS

LENGTH: 422 words

DATELINE: MONTREAL, Sept. 25

Abitibi-Consolidated Inc. President and
CEO John W. Weaver, in his role as Chairman of the Forest Products Association
of Canada, will make a presentation entitled "Partnerships in our Forests: The
Canadian Approach to Sustainability" at the XII World Forestry Congress on
Friday, September 26, 2003, at 2:00 P.M. (Eastern time) in QuDebec City,
Canada. A Press Conference will follow the presentation on site.</td><td>No-news</td></tr>
<tr><td>VULCAN INTL CORP
Dividend decrease announcement on March 3, 2003</td><td>Methanex Corporation: Notice of Cash Dividend

LENGTH: 122 words

DATELINE: VANCOUVER, British Columbia, March 7, 2003

BODY: Methanex Corporation (Nasdaq:MEOH) (TSX:MX) announced today that its Board of Directors has declared a quarterly dividend of US $0.05 per share that will be payable on March 31, 2003 to holders of common shares of record on March 17, 2003.</td><td>Discarded

This disclosure was discarded because it was a concurrent dividend change announcement.</td></tr>
<tr><td>GLATFELTER
Dividend decrease announcement on September 18, 2003</td><td>June 20, 2003 Friday

Halliburton Q2 update hits shares

SECTION: COMPANY NEWS

LENGTH: 416 words

DATELINE: DALLAS</td><td>Bad news

This management forecast was not discarded because there was not a similar forecast made last year around this</td></tr>
</table>

	Halliburton's shares took a hit Friday after the company said it expects to record additional losses from its Barracuda-Caratinga project in Brazil. The Houston-based company said the project's higher-than-expected cost estimates, schedule extensions and other factors would result in a charge of $104 million, or 24 cents a share.	date (6/15-6/25/2002) or last quarter (3/15-3/25/2003).
TENARIS Dividend increase announcement on June 9, 2003	Business Wire June 16, 2003, Monday ENGlobal Announces New Contract With BASF; Multi-Year Contract With Potential Value of $15Million **LENGTH:** 677 words **DATELINE:** HOUSTON, June 16, 2003 **BODY:** ENGlobal Corporation (AMEX: ENG), a leading provider of engineering services and engineered systems, today announced that its subsidiary, ENGlobal Engineering Inc. ("ENGlobal"), has received a contract from BASF Corporation (NYSE: BF) to provide on-site engineering, design and support personnel at its Freeport, Texas and Geismar, Louisiana plants. Company officials estimate the value of the open-ended contract to be approximately $15 million over the next three years. ENGlobal has provided in-plant personnel to BASF for 20 years and under this contract, ENGlobal will supply all in-plant engineers and designers at these sites by mid-July. This level of staffing will be approximately three times ENGlobal's current staffing level in place at BASF sites. ENGlobal anticipates teaming with a local Freeport engineering firm to combine resources in support of operations in the Freeport area.	***Good news***

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Figure 1: Two-by-two table on non-announcing firms' patterns of disclosure in response to their peers' announcements of dividend changes

	Dividend change	
Industry concentration[a]	**Increase**	**Decrease**
Less-concentrated	No disclosure[b]	Disclosure (*not-me* story)
More-concentrated	Disclosure (*me-too* story)	No disclosure

This table depicts the patterns of non-announcing firms' disclosure in response to an industry peer's dividend change announcement. The patterns are captured within the two stories (i.e., me-too and not-me) wherein non-announcing firms are more likely to disclose good news when a competitor announces a dividend increase in more-concentrated industries, while non-announcing firms are more likely to disclose good news when a competitor announces a dividend decrease in less-concentrated industries.

[a]An industry is classified as less-concentrated if its Herfindahl-Hirschman index is below the sample median of 0.20.

[b]"No disclosure" does not necessarily mean that managers will not intervene, but only that their propensity to intervene in no-disclosure cells will be minimal relative to cells predicting disclosure.

Table 1

A. Sample Selection of Announcing Firms

	Firms	***Firm-Quarters***
Firms listed on Compustat with a quarterly change in dividends between 2003-2006	3,887	11,591
Less: non-calendar fiscal year-end firms	–1,684	–4,756
Less: financial and utility companies	–1,065	–3,027
Less: firms with missing declaration date on CRSP	–417	–1,460
Less: firms with dividend announcement date that occurs within 10 days of an earnings announcement	–13	–47
Less: firms with missing return variable on CRSP	–5	–14
Less: firms with no prior year sales data on Compustat	–1	–1
Less: observations with announcement returns of less than absolute value of 1%.	–203	–1,298
Full sample of announcing firms before random selection	**499**	**988**
Retained sample of announcing firms after random selection	**83**	**158**

B. Sample Selection of Non-announcing Firms

	Firms
Initial sample of non-announcing firms generated from matching the retained sample of announcing firms with non-announcing rivals based on the eight-digit GICS code	774
Less: non-announcing firms for whom the first available disclosure was an earnings announcement	–12
Less: non-announcing firms whose first disclosure was a dividend change announcement or a stock repurchase	–7
Less: non-announcing firms with missing segment data to compute the Herfindahl-Hirschman Index (HHI)	–141
Less: non-dividend paying non-announcing firms	–8
Retained sample of non-announcing firms	**606**

Table 2
Cumulative three-day abnormal returns for the full and retained samples of firms that announced dividend increases and decreases from January 2003 through December 2006

	N	Mean (in percent)	Median (in percent)
Panel A: Announcement returns to dividend increases by year:			
2003	169	1.54 ***	1.01
2004	228	1.59 ***	1.04
2005	251	1.35 ***	1.02
2006	209	1.31 ***	0.90
Full sample	857	1.44***	0.99
Retained sample	47	1.36***	0.78
Panel B: Announcement returns to dividend decreases by year:			
2003	30	–2.50 ***	–0.97
2004	20	–2.03 ***	–0.85
2005	23	–2.07 ***	–1.05
2006	58	–1.65 ***	–1.21
Full sample	131	–2.07***	–1.20
Retained sample	36	–2.43***	–0.92

*, **, *** Denotes a statistically significant two-tailed t-test of the null hypothesis that the mean cumulative abnormal return is different from zero at the 0.10, 0.05, and 0.01 levels, respectively.

This table presents mean and median values for cumulative three-day abnormal returns to the full and retained samples of announcing firms. Cumulative abnormal stock returns are market-adjusted returns based on the CRSP value-weighted stock index. The announcement period is based on three trading days centered on the date of the announcement of the dividend change. The full sample represents all the firms in Compustat with a dividend change announcement having all the necessary data during the sample period. The retained sample is selected from the full sample of announcing firms from using a simple random sampling (proc surveyselect in SAS).

Table 3

Panel A: Descriptive Statistics Comparing Full and Retained Samples of Non-announcing Firms

	Full Sample[a]				Retained Sample[b]			
	N	Mean	Median	Std. Dev.	N	Mean	Median	Std. Dev.
Div_Chg	12,969	0.0559	0.0300	0.2152	606	–0.0134	–0.0277	0.2198
Dividend Increases	10,948	0.1071	0.0375	0.1752	369	0.1052	0.0495	0.1628
Dividend Decreases	2,021	–0.2215	–0.1450	0.1994	237	–0.1946	–0.1455	0.1633
Twelve_day CAR	12,969	0.0011	0.0002	0.0338	606	–0.0002	0.0004	0.0124
Dividend Increases	10,948	0.0016	0.0005	0.0339	369	0.0017	0.0015	0.0124
Dividend Decreases	2,021	–0.0015	–0.0017	0.0327	237	–0.0031	–0.0013	0.0120
Log_Mkval	12,969	6.1867	6.1588	1.9624	606	6.3880	6.2868	2.0226
Dividend Increases	10,948	6.1688	6.1480	1.9739	369	6.4795	6.3104	2.0055
Dividend Decreases	2,021	6.2949	6.2359	1.9069	237	6.2483	6.2508	2.0395
BTM	12,969	0.4698	0.3740	1.4933	606	0.5353	0.4515	0.5079
Dividend Increases	10,948	0.4784	0.3786	1.6149	369	0.5046	0.4598	0.4555
Dividend Decreases	2,021	0.4229	0.3452	0.4171	237	0.5821	0.4388	0.5879

Panel B: Proportions of Industry Concentration Levels and Industry-leading Rivals in Retained Samples of Dividend Changes

	Dividend Increases	Dividend Decreases
Number of Firms in Industries with below-median Herfindahl-Hirschman Index (i.e., Less-concentrated Industries)[c]	312 (85%)	160 (68%)
Number of Firms with Industry-leading Rivals[d]	243 (66%)	188 (79%)

Variable definitions:

Div_Chg = announcing firms' quarterly cash dividend change; *CAR* = cumulative twelve-day abnormal returns in percentages for non-announcing firms starting one day before an industry peer announces a dividend change to ten days after [–1, +10]; *Log_Mkval* = non-announcing firm natural log of market value of equity at the beginning of the announcement period; *BTM* = non-announcing firm book value of equity over market value of equity at the beginning of the announcement period; *N* = the number of industry rivals in each group of dividend changes.

[a]The full sample constitutes the sample of rival firms obtained from Compustat and matched with the full sample of announcing firms on the eight-digit GICS.
[b]The retained sample of non-announcing firms is obtained from matching the retained sample of announcing firms with Compustat firms based on the eight-digit GICS.
[c]An industry is classified as less-concentrated if its Herfindahl-Hirschman index is below the sample median of 0.20.
[d]An announcing firm is classified as an industry-leading firm if firm its market share is above the industry median and 0 otherwise.

Table 4

Panel A: Cumulative two-day abnormal returns to non-announcing firms based on industry concentration in the dividend increase sample

	Retained Sample	**Subsamples of rivals in industries with below-median Herfindahl-Hirschman Index (i.e., Less-concentrated Industries)[a]**	**Subsamples of rivals in industries with above-median Herfindahl-Hirschman Index (i.e., More-concentrated Industries)**
Cumulative two-day abnormal returns	0.22%	0.33%	–0.40%
t-statistic	(2.62)***	(3.86)***	(–1.44)
% of positive abnormal returns	[57%]	[59%]	[46%]
N	369	312	57

Panel B: Cumulative two-day abnormal returns to non-announcing firms based on industry concentration in the dividend decrease sample

	Retained sample	**Subsamples of rivals in industries with below-median Herfindahl-Hirschman Index (i.e., Less-concentrated Industries)**	**Subsamples of rivals in industries with above-median Herfindahl-Hirschman Index (i.e., More-concentrated Industries)**
Cumulative two-day abnormal returns	–0.48%	–0.66%	–0.11%
T-statistic	(–4.13)***	(–4.73)***	(–0.52)
% of negative abnormal returns	[62%]	[67%]	[49%]
N	237	163	74

Variable definitions:

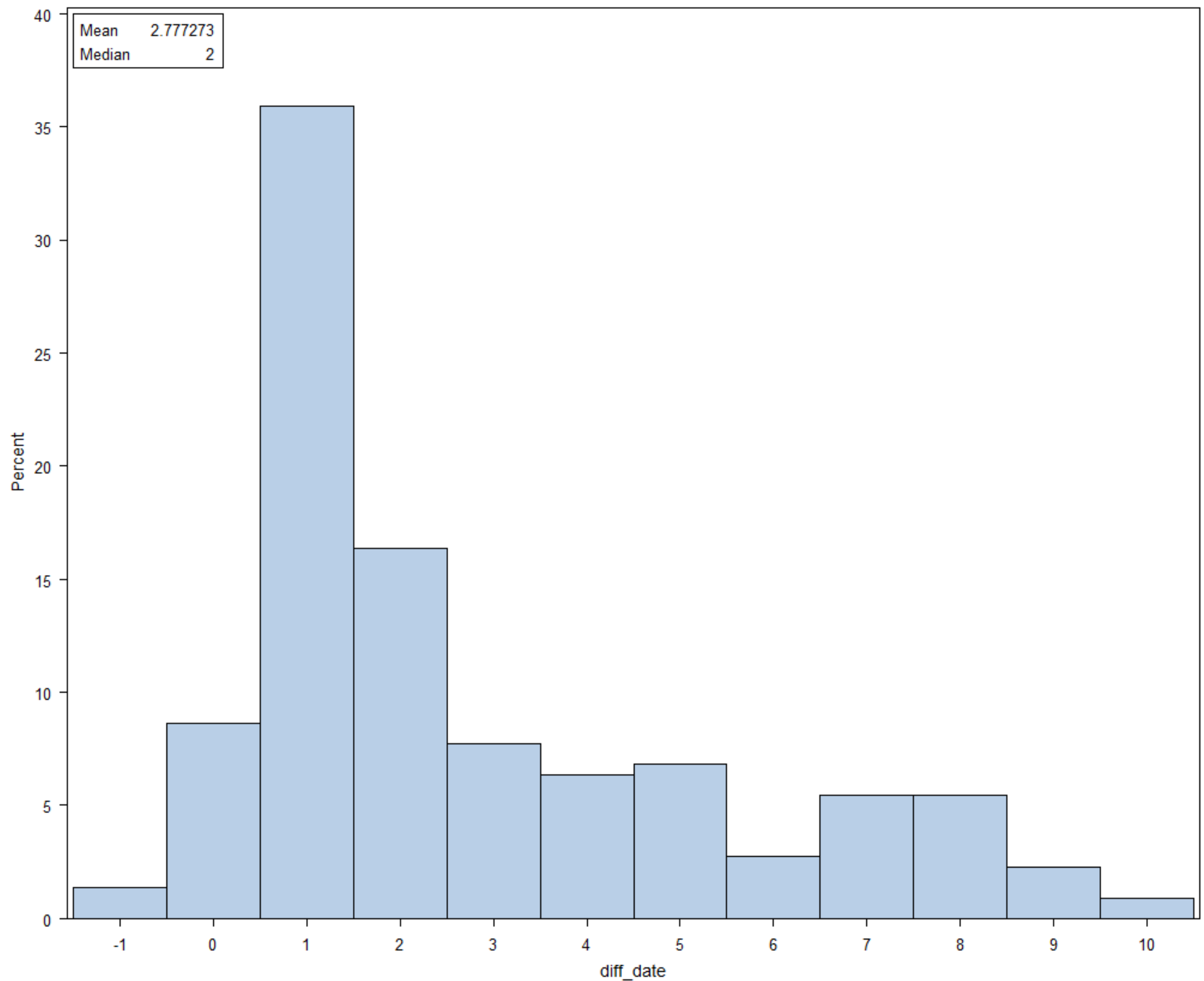
CAR = cumulative two-day abnormal returns in percentages for non-announcing firms starting one day before the announcement of a dividend change by an industry peer to the date of the announcement (–1, 0). This variable is winzorized at the 1% up and down. *N* = the number of industry rivals in each group of dividend changes.

t-statistics are in parenthesis; their significance level is determined as follows: ***, **, and *, significant at the 1%, 5%, and 10% (two-tailed), respectively.

Percentages of positive (negative) abnormal returns in the dividend increase (decrease) group are in brackets.

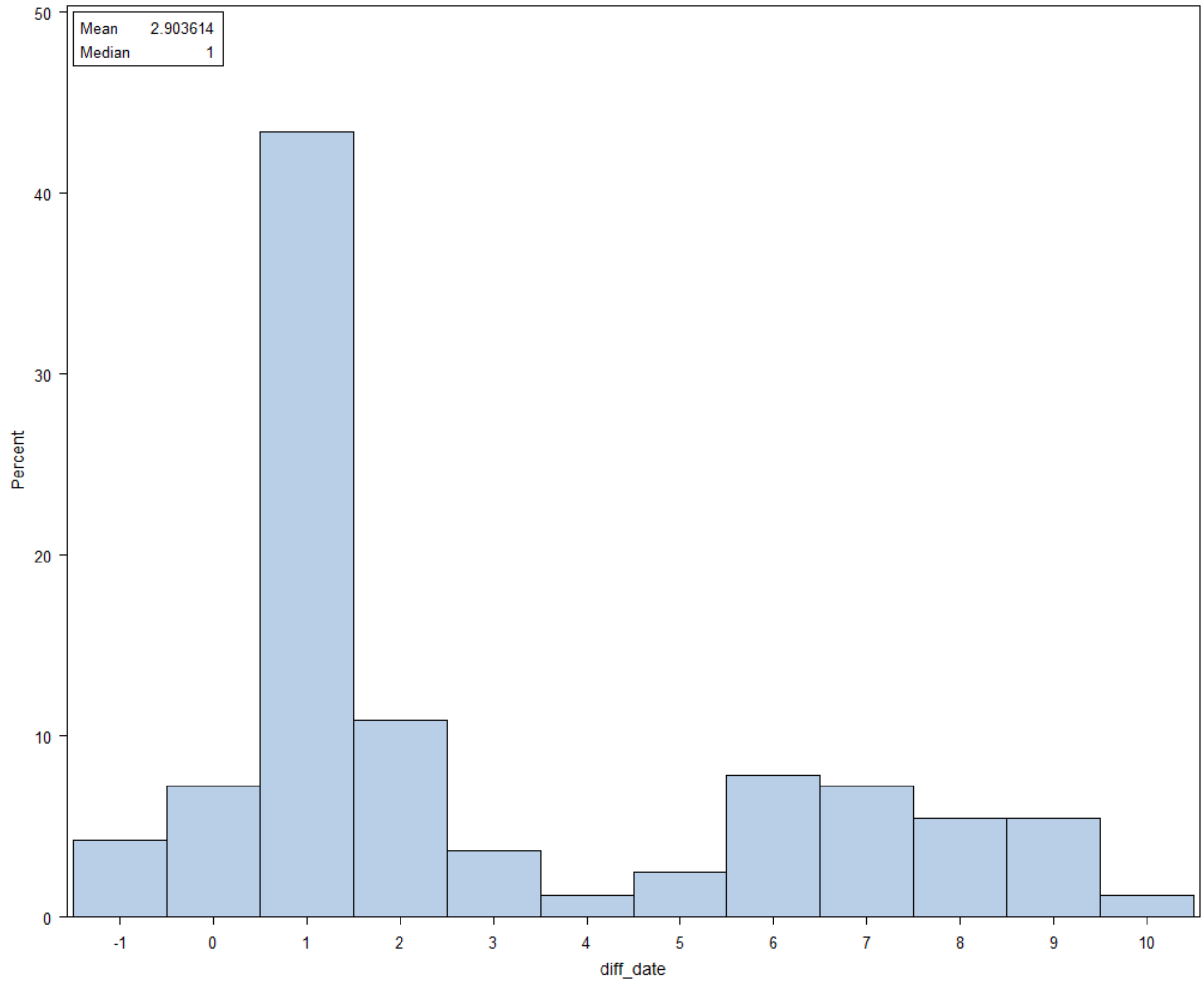
[a]An industry is classified as less-concentrated if its Herfindahl-Hirschman index is below the sample median of 0.20. Rivals in less-concentrated industries are subject to contagious effects. Therefore, for dividend change announcements, market reactions to these events will move in the same direction for rivals and announcers. However, for rivals in more-concentrated industries (i.e., Herfindahl-Hirschman index that exceeds the sample median of 0.20), I hypothesize that these rivals will be subject to competitive effects. Therefore, market reactions to the dividend announcements will move in opposite direction for rivals and announcers.

Figure 2a: Non-announcing firms' timing of disclosures to announcements of dividend increases



This figure presents the timing of the non-announcing firms' responses to an industry peer's dividend increase announcement. The responses constitute any disclosure (good or bad news) made by the non-announcing firms around the dates of the announcement of a dividend increase by an industry peer. *Diff_day* represents the number of days elapsed between the date of a dividend change announcement and the date of the first disclosure by a non-announcing firm that is considered to be in response to the peer's dividend increase announcement.

Figure 2b: Non-announcing firms' timing of disclosures to announcements of dividend decreases



This figure presents the timing of the non-announcing firms' responses to an industry peer's dividend decrease announcement. The responses constitute any disclosure (good or bad news) made by the non-announcing firms around the dates of the announcement of a dividend decrease by an industry peer. *Diff_day* represents the number of days elapsed between the date of a dividend change announcement and the date of the first disclosure by a non-announcing firm that is considered to be in response to the peer's dividend decrease announcement.

Table 5

Determinants of non-announcing firms' good news disclosures to industry rivals' announcements of dividend increases

Dependent variable: *Prob(Discl_GN)*[a]

		Model 1[b]		Model 2	
Variable	**Predicted sign**	**Logistic Regression Coefficient**	**Odds Ratio Estimate**	**Logistic Regression Coefficient**[c]	**Odds Ratio Estimate**
Intercept	?	–2.545***		–2.405***	
MCInd	+	0.840***	2.317	0.176	1.192
LeadFirm	+	0.315***	1.371	0.091	1.095
Neg2DayRet	+	0.204***	1.226	0.032	1.032
*MCInd*LeadFirm*	+			0.737** (1.004)**	2.090 (2.729)
*MCInd*Neg2DayRet*	+			0.398	1.488
*LeadFirm*Neg2DayRet*	+			0.198	1.219
*MCInd*LeadFirm*Neg2DayRet*	+			–0.046	0.955
Control variables:					
Log_Mkval	+	0.252***	1.286	0.256***	1.292
BTM	?	–0.192***	0.825	–0.195***	0.823
Pseudo-R^2		9.41%		10.01%	
Likelihood Ratio p-value		0.000		0.000	
N		369		369	

[a]Equation 1a:

$$\begin{aligned} Prob(Discl\_GN)_j = {} & \alpha_0 + \alpha_1 MCInd + \alpha_2 LeadFirm_i + \alpha_3 Neg2DayRet_j \\ & + \alpha_4 MCInd * LeadFirm + \alpha_5 MCInd * Neg2DayRet \\ & + \alpha_6 LeadFirm * Neg2DayRet \\ & + \alpha_7 MCInd * LeadFirm * Neg2DayRet \\ & + \alpha_8 LogMkval_j + \alpha_9 BTM_j + \varepsilon \end{aligned}$$

Variable definitions:
Discl_GN = an indicator variable equal to 1 if non-announcing firm *j* discloses good news on the date *t* and up to ten days after an industry peer *i* makes an announcement, and 0 otherwise; *MCInd* = an indicator variable equal to 1 if firm *j*'s industry is more-concentrated, and 0 otherwise. An industry is classified as more-concentrated if its Herfindahl-Hirschman index exceeds the sample median of 0.20; *LeadFirm* = an indicator variable equal to 1 if announcing firm *i*'s two-year median sales are higher than the industry median, and 0 otherwise; *Neg2DayRet* = an indicator variable equal to 1 if firm *j*'s cumulative two-day abnormal return is negative, and 0 otherwise. This two-day CAR is based on a two-day event window (–1, 0); *Log_Mkval* = non-announcing firm *j*'s natural log of market value of equity at the beginning of the announcement period; *BTM* = non-announcing firm *j*'s book value of equity over market value of equity at the beginning of the announcement period.
[b]To control for independence of estimated Odds ratios among independent variables, I use a step-wise approach to fit the model. Interactions are gradually entered after the main effects are fitted. However, estimated Odds ratios seem to have not been affected with fitting just one model.
[c]The predicted Odds ratio of a variable is equal to ***e*** raised to the power of its corresponding coefficient. In a model with interactions, the Odds ratio is equal to ***e*** raised to the power of the sum of the corresponding main effect coefficients and the coefficient on the interaction. For significant interactions, the sum of the coefficients that make up these interactions along with the odds ratios are calculated and reported in parenthesis.

***, **, and *, significant at the 1%, 5%, and 10% (two-tailed), respectively.

Table 6

Determinants of non-announcing firms' good news disclosures to industry rivals' announcements of dividend decreases

Dependent variable: *Prob(Discl_GN)*[a]

		Model 1[b]		Model 2	
Variable	**Predicted sign**	**Logistic Regression Coefficient**	**Odds Ratio Estimate**	**Logistic Regression Coefficient**[c]	**Odds Ratio Estimate**
Intercept	?	–0.428***		–0.338***	
LCInd	+	0.535***	1.707	0.548***	1.730
LeadFirm	+	0.243**	1.274	–0.582*	0.559
Neg2DayRet	+	0.676***	1.967	0.658***	1.930
*LCInd*LeadFirm*	+			0.582* (0.548)*	1.789 (1.730)
*LCInd*Neg2DayRet*	+			–0.239	0.787
*LeadFirm*Neg2DayRet*	+			0.849*** (0.925)***	2.337 (2.522)
*LCInd*LeadFirm*Neg2DayRet*	+			–0.139	0.870
Control variables:					
Log_Mkval	+	–0.039*	0.962	–0.046**	0.955
BTM	?	–0.491***	0.610	–0.466***	0.628
Pseudo-R^2		6.78%		7.88%	
Likelihood Ratio p-value		0.000		0.000	
N		237		237	

[a]Equation 1b:

$$\begin{aligned} Prob(Discl\_GN)_j = {} & \beta_0 + \alpha_1 LCInd + \beta_2 LeadFirm_i + \beta_3 Neg2DayRet_j \\ & + \beta_4 LCInd * LeadFirm + \beta_5 LCInd * Neg2DayRet \\ & + \beta_6 LeadFirm * Neg2DayRet \\ & + \beta_7 LCInd * LeadFirm * Neg2DayRet \\ & + \beta_8 LogMkval_j + \beta_9 BTM_j + \varepsilon \end{aligned}$$

Variable definitions:
Discl_GN = an indicator variable equal to 1 if non-announcing firm *j* discloses good news on the date *t* and up to ten days after an industry peer *i* makes an announcement, and 0 otherwise; *LCInd* = an indicator variable equal to 1 if firm *j*'s industry is less-concentrated, and 0 otherwise. An industry is classified as less-concentrated if its Herfindahl-Hirschman index is below the sample median of 0.20; *LeadFirm* = an indicator variable equal to 1 if announcing firm *i*'s two-year median sales are higher than the industry median, and 0 otherwise; *Neg2DayRet* = an indicator variable equal to 1 if firm *j*'s cumulative two-day abnormal return is negative, and 0 otherwise. This two-day CAR is based on a two-day event window (–1, 0); *Log_Mkval* = non-announcing firm *j*'s natural log of market value of equity at the beginning of the announcement period; *BTM* = non-announcing firm *j*'s book value of equity over market value of equity at the beginning of the announcement period.
[b]To control for independence of estimated Odds ratios among independent variables, I use a step-wise approach to fit the model. Interactions are gradually entered after the main effects are fitted. However, estimated Odds ratios seem to have not been affected with fitting just one model.
[c]The predicted Odds ratio of a variable is equal to ***e*** raised to the power of its corresponding coefficient. In a model with interactions, the Odds ratio is equal to ***e*** raised to the power of the sum of the corresponding main effect coefficients and the coefficient on the interaction. For significant interactions, the sum of the coefficients that make up these interactions along with the odds ratios are calculated and reported in parenthesis.

***, **, and *, significant at the 1%, 5%, and 10% (two-tailed), respectively.

Table 7

Panel A: Regression analysis on the impact of non-announcing firms' disclosures of good news to industry rivals' announcements of dividend increases

Dependent Variable: *CAR*[a]		Period[b] (–1, +10)		Period (+1, +10)	
Variable	**Predicted Sign**	**Coefficient Estimate**	**t-statistic**	**Coefficient Estimate**	**t-statistic**
Intercept		–0.0002	–0.12	–0.0006	–0.69
GN_Discl	+	0.0033***	4.15	0.0033***	3.79
MCInd	–	–0.0044***	–3.37	–0.0040***	–2.80
*GN_Discl*MCInd*	+	0.0076***	3.98	0.0097***	4.66
Log_Mkval		–0.0002	–1.22	–0.0002	–1.16
BTM		0.0017**	2.52	0.0016**	2.07
Model Adjusted R^2		1.26%		1.64%	
Model F-Test		11.80		12.75	
N		369		369	

Panel B: Cumulative abnormal returns to non-announcing firms' disclosures of good news when their industry rivals announce a dividend increase in more-concentrated industries[c]

	Cumulative two-day abnormal returns for period (–1, 0)	**Cumulative ten-day abnormal returns for period (+1, +10)**
	–0.42%	0.76%
t-statistic	(–0.85)	(4.61)***
N'	28	28

[a]Equation 2: $CAR_j = \gamma_0 + \gamma_1 GN\_Discl + \gamma_2 MCInd + \gamma_3 GN\_Discl * MCInd + \gamma_4 Log\_Mkval + \gamma_5 BTM + \varepsilon$

[b]Period represents the accumulation period for CAR. (–1, +10) represents an accumulation of twelve trading days, starting one day before the announcement to ten days after. (+1, +10) represents an accumulation of ten trading days, starting one day after the announcement to up to ten days.

Variable definitions:
CAR = cumulative abnormal returns in percentages to non-announcing firms (see the definitions above for the accumulation periods for *CAR*); *Discl_GN* = an indicator variable equal to 1 if non-announcing firm *j* discloses good news on the date *t* and up to ten days after an industry peer *i* makes an announcement, and 0 otherwise; *MCInd* = an indicator variable equal to 1 if firm *j*'s industry is more-concentrated, and 0 otherwise. An industry is classified as more-concentrated if its Herfindahl-Hirschman index exceeds the sample median of 0.20; *Log_Mkval* = non-announcing firm *j*'s natural log of market value of equity at the beginning of the announcement period; *BTM* = non-announcing firm *j*'s book value of equity over market value of equity at the beginning of the announcement period; *N* = the number of industry rivals in the group of dividend increases.

[c]This table presents abnormal returns for the group of rivals in more-concentrated industries before and after they have disclosed their own good news. These firms are hypothesized to have announcement returns that are in the opposite direction (i.e., negative) of their rivals with dividend increase news. Abnormal returns are measured at periods (–1, 0) and (+1, +10).

N' = the number of rival firms in industries classified as more-concentrated that disclose good news to an industry rival's announcement of a dividend increase.

***, **, and *, significant at the 1%, 5%, and 10% (two-tailed), respectively.

Table 8

Panel A: Regression analysis on the impact of non-announcing firms' disclosures to industry rivals' announcements of dividend decreases

Dependent Variable: *CAR*[a]		Period[b] (–1, +10)		Period (+1, +10)	
Variable	**Predicted Sign**	**Coefficient Estimate**	**t-statistic**	**Coefficient Estimate**	**t-statistic**
Intercept		–0.0043**	–2.29	–0.0033	–1.61
GN_Discl	+	0.0050***	3.00	0.0068***	3.76
LCInd	–	–0.0035***	2.73	–0.0020	–1.48
*GN_Discl*LCInd*	+	0.0007	0.33	–0.0013	–0.60
Log_Mkval		0.0005**	2.01	0.0003	1.06
BTM		0.0003	0.30	–0.0001	–0.10
Model Adjusted R^2		1.54%		1.59%	
Model F-Test		9.41		8.22	
N		237		237	

Panel B: Cumulative abnormal returns to non-announcing firms' disclosures of good news when their industry rivals' announce a dividend decreases in less-concentrated industries[c]

	Cumulative two-day abnormal returns for period (–1, 0)	**Cumulative ten-day abnormal returns for period (+1, +10)**
	–0.32%	0.18%
t-statistic	(–2.54)***	(2.21)**
N'	74	75

[a]Equation 3: $CAR_j = \delta_0 + \delta_1 GN\_Discl + \delta_2 LCInd + \delta_3 GN\_Discl * LCInd + \delta_4 Log\_Mkval + \delta_5 BTM + \varepsilon$

[b]Period represents the accumulation period for CAR. (–1, +10) represents an accumulation of twelve trading days, starting one day before the announcement to ten days after. (+1, +10) represents an accumulation of ten trading days, starting one day after the announcement to up to ten days.

Variable definitions:
CAR = Twelve-day cumulative abnormal returns in percentages to non-announcing firms starting one day before an industry peer announces a dividend decrease to ten days after. The period of evaluation for *CAR* coincides with the disclosure search period; *Discl_GN* = an indicator variable equal to 1 if non-announcing firm *j* discloses good news on the date *t* and up to ten days after an industry peer *i* makes an announcement, and 0 otherwise; *LCInd* = an indicator variable equal to 1 if firm *j*'s industry is less-concentrated, and 0 otherwise. An industry is classified as less-concentrated if its Herfindahl-Hirschman index exceeds the sample median of 0.20; *Log_Mkval* = non-announcing firm *j*'s natural log of market value of equity at the beginning of the announcement period; *BTM* = non-announcing firm *j*'s book value of equity over market value of equity at the beginning of the announcement period. *N* = the number of industry rivals in the group of dividend increases.

[c]This table presents abnormal returns for the group of rivals in less-concentrated industries before and after they have disclosed good news. These firms are hypothesized to have announcement returns that are in the same direction (i.e., negative) of their rivals with dividend decrease news. Abnormal returns are measured at periods (–1, 0) and (+1, +10).

N' = the number of rival firms in industries classified as less-concentrated that disclose good news to an industry rival's announcement of a dividend decrease.

***, **, and *, significant at the 1%, 5%, and 10% (two-tailed), respectively.